

DEAL INTELLIGENCE

# Caprice's \$100M Hudson Street Buy Shows Nightlife Capital Is Chasing Trophy Real Estate

A London operator pays double the 2023 basis, signaling a new bid for experiential assets in prime Manhattan.

July 15, 2026 | Commercial Observer

A source-grounded Light Tower Insight.

A London nightclub operator just paid \$100 million for a five-story landmarked building in Manhattan's Meatpacking District. The buyer, Caprice Holdings, secured \$165 million in financing from HSBC. The seller, Robert Cayre's Aurora Capital Associates, had acquired the property in a 2023 bargain sale for \$50 million.

The transaction is not a real estate deal in the conventional sense. It is a capital allocation decision by an operator of experiential venues who needs a New York flagship and is willing to pay a premium for a specific location. The seller, meanwhile, is monetizing a short-term basis gain that was never about operating the building.

Caprice plans to convert the property into a New York outpost of Annabel's, its private club brand. The building at 675 Hudson Street, also known as the Herring Building, dates to 1849 and is subject to Landmarks Preservation Commission review. The buyer's proposed rooftop addition has already drawn skepticism from the LPC.

The financing structure is the most revealing element. HSBC provided \$165 million against a \$100 million purchase price. That is \$65 million more than the acquisition cost. The excess proceeds suggest Caprice is funding the planned alterations, tenant improvements, and working capital through the mortgage. The lender is underwriting not just the real estate but the operator's business plan and brand equity.

This is a bet on experiential consumption in a prime Manhattan submarket. The Meatpacking District has become a destination for high-end retail, dining, and nightlife. Caprice is paying for adjacency to that ecosystem. The \$100 million price is not supported by the building's current income as a masonry supply factory. It is supported by the projected cash flow of a private club with a London pedigree and a wealthy membership base.

Aurora Capital's role in this transaction is instructive. The firm bought the property in 2023 for \$50 million, likely during a period of dislocation when office-adjacent assets were under

pressure. Aurora did not develop the building or operate a nightclub. It identified a basis opportunity and held the asset for three years. The \$50 million gain is a return on timing and market knowledge, not on operational improvement.

The seller's exit raises a question for the market: how many more such basis trades exist in Manhattan? Properties acquired during the 2023 trough, when debt was scarce and uncertainty high, are now being tested against a bid from capital that needs a specific use case. The bid is not coming from traditional office or retail investors. It is coming from operators who need a physical location to execute a brand strategy.

Caprice's parent company, DIAFA, is an Abu Dhabi-based firm that acquired the Annabel's and Caprice brands earlier this year. The buyer is not a real estate fund. It is a hospitality platform with a long-term view of its New York presence. The \$165 million HSBC loan is a reflection of that platform's creditworthiness and the lender's comfort with the use case.

The LPC risk is real. The proposed curved glass rooftop addition has drawn criticism from commissioners who say it conflicts with the historic building's character. If the LPC rejects the plan or forces significant redesign, Caprice's underwriting changes. The building's value as a private club depends on the ability to create the intended experience. A compromised design could reduce projected revenue and strain the debt service.

For market participants, this deal offers a narrow but real signal. Capital is available for experiential real estate in prime locations, even at elevated basis and with execution risk. The lender is not underwriting a cap rate. It is underwriting a brand, a business plan, and a location that cannot be replicated. The seller is demonstrating that short-term basis trades can still generate outsized returns when the buyer's motivation is specific and urgent.

The broader market should test whether this is an isolated event or the beginning of a pattern. If other experiential operators begin acquiring Manhattan properties at premiums to recent trades, it will confirm that a new class of buyer has entered the market. If Caprice struggles with the LPC or the club fails to generate projected revenue, the deal will become a cautionary

tale about underwriting use case over real estate fundamentals.

---

For now, the transaction stands as a reminder that the Manhattan market is not monolithic. Office towers may be repricing downward. But a landmarked building in the Meatpacking District with a London club operator behind it can still command a price that doubles the seller's basis in three years. The capital is not flowing to all assets. It is flowing to the ones that serve a specific, high-value use.